Investment Credit Memorandum

Northbridge CLO 2024-1 | Apex Industrial Holdings | 4 March 2024

1. Recommendation

Credit committee is asked to approve a $7,200,000 allocation of the Apex Industrial Holdings first-lien term loan into the Northbridge CLO 2024-1 warehouse, and to roll that position into the CLO at closing. The loan is a $400,000,000 first-lien senior secured term loan due 2031. The borrower is Apex Industrial Holdings, a Delaware corporation headquartered in Chicago. The financial sponsor is Lakeside Private Equity. The facility agent is Summit National Bank. Analyst: Marcus Chen. Committee chair: David Okonkwo. Portfolio manager: Priya Raman, Meridian Credit Partners LLC.

Recommendation: Approve at a maximum par of $7,200,000 (1.80% of the $400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Northbridge CLO 2024-1 indenture. Moody's corporate family rating is B1. S&P issuer credit rating is B+. The loan is first-lien, covenant-lite, and US dollar denominated, and is eligible collateral under the term sheet dated 12 March 2024.

2. Borrower and sponsor

Apex Industrial Holdings manufactures precision metal components for heavy equipment and aftermarket industrial parts. Approximately 70% of revenue is North America and 30% is Europe. The company is owned by Lakeside Private Equity, which completed a take-private in September 2022. Lakeside Private Equity is based in Chicago. The CEO is Elena Vasquez. The CFO is Thomas Berger. Neither person is employed by Meridian Credit Partners LLC.

Key customers include Redwood Packaging LLC (also a seed name in Northbridge CLO 2024-1) and two original-equipment manufacturers that are not held in the CLO. Supplier concentration is moderate. The business is cyclical with construction and freight volumes.

3. Facility terms

Instrument: Apex Industrial Holdings first-lien term loan. Original principal $400,000,000. Spread: SOFR + 3.75% with a 0.75% floor. Maturity: 15 September 2031. Call protection: 101 soft call for six months. The credit agreement is covenant-lite; there is no springing leverage covenant on the term loan. A $75,000,000 revolving credit facility sits ahead of the term loan for liquidity only and is provided by Summit National Bank and Bridgeport Bank. Bridgeport Bank is also the warehouse lender to Northbridge CLO 2024-1.

4. Credit highlights and risks

Highlights: diversified end markets, sponsor support from Lakeside Private Equity, first-lien collateral package, and a loan-to-value that we estimate in the mid-50s on a last-twelve-months EBITDA of $148 million. Free cash flow after capex was $41 million in 2023. Interest coverage on the first-lien package is about 3.1x.

Risks: cyclical industrial demand, customer concentration with Redwood Packaging LLC, and add-on acquisition risk. Helios Telecom, Inc. is not related to this borrower; it is a separate seed name in Northbridge CLO 2024-1 and should not be aggregated with Apex Industrial Holdings for the single obligor test. Marcus Chen confirmed that Moody's industry classification for Apex Industrial Holdings is 'Capital Equipment' and for Helios Telecom, Inc. is 'Telecommunications'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated above Caa1. It does not increase the Caa bucket. It uses 1.80 of the 2.00 percentage-point largest-obligor covenant. Priya Raman confirmed that after this trade, the next largest expected seed names are Helios Telecom, Inc. at 1.5% and Redwood Packaging LLC at 1.4%. Cascade Health Services is expected at 1.1%.

If Apex Industrial Holdings is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Northbridge CLO 2024-1 indenture. Harbor Trust Company, N.A. would reflect that classification on the next monthly trustee report. Meridian Credit Partners LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Meridian Credit Partners LLC approved the $7,200,000 purchase for the Northbridge CLO 2024-1 warehouse on 4 March 2024. Voting members: David Okonkwo (chair), Priya Raman, and Marcus Chen. The trade will settle into the Bridgeport Bank warehouse and be conveyed to Northbridge CLO 2024-1, Ltd. on the closing date of 28 March 2024.